EXECUTIVE SUMMARY

1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipal Government of Claveria, Cagayan for the year 2015 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Claveria for the year ended December 31, 2015, with comparative figures for CY 2014, are as follows:

	2015	2014	Increase (Decrease)
Financial Condition			
Total Assets	P 129,363,174.67	P 103,525,727.34	P 25,837,447.33
Total Liabilities	34,197,045.97	26,916,138.08	7,280,907.89
Total Government Equity	95,166,128.70	76,609,589.26	18,556,539.44
Results of Operation			
Total Income	P 97,047,048.94	P 90,608,058.58	P 6,438,990.36
Total Expenses	62,352,335.13	63,396,793.97	(1,044,458.84)
Appropriations, Allotments and Obligations			
Appropriations	P 125,273,932.16	P 112,302,298.83	P 12,971,633.33
Allotments	125,273,932.16	112,302,298.83	12,971,633.33
Obligations	74,839,458.44	76,774,304.85	(1,934,846.45)

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2015	2014	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 0.00	P 0.00	P 0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/Pos	0.00	0.00	0.00
TOTAL	P 0.00	P 0.00	P 0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 6,058,257.97	P 4,587,391.52	P 1,470,866.45
Due to LGUs	2,847,908.20	2,273,900.00	574,008.20
Due to NGOs/Pos	0.00	0.00	0.00
TOTAL	**P 8,906,166.17**	**P 6,861,291.52**	**P 2,044,874.65**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Claveria, Cagayan as of December 31, 2015 due to (a) the recorded balances of Property, Plant and Equipment (PPE) with a total value of P30,960,160.75were doubtful due to the failure to conduct the physical count and the absence of property records; and (b) RPT/SET Receivables amounting to P11,447,132.30 could not be ascertained for lack of certified list of taxpayers and subsidiary ledgers indicating the corresponding amount due and collectibles.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting toP30,960,160.75 as of December 31, 2015 could not be ascertained due to the failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

   We recommended to the Local Chief Executive to create committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20,1992 and section 122 of PD 1445.

2. **The Real Property Tax and Special Education Tax Receivables totaling P11,447,132.30 could not be ascertained as to accuracy and validity due the non-submission of a certified list of taxpayers, indicating the corresponding amount due and collectible together with the covering subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

   We reiterated our previous year's recommendation that management directs the concerned officials to:

   1. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;
   2. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;
   3. Maintain subsidiary ledger for each taxpayer.

3. **Real Property Tax and Special Education Tax Receivables totaling P11,447,132.30 had remained uncollected and outstanding in the books of accounts, hence depriving the municipality of additional resources to support its various projects, programs and activities.**

   We recommended that the Local Chief Executive, as well as the Sangguniang Bayan Members, adopt measures to collect from delinquent taxpayers. Collection system and tax campaign should be strengthened and intensified to eliminate and/or minimize tax delinquencies Additional collections on real property tax shall be used to augment additional projects/programs that will benefit the Local Government Unit.

4. **The Municipality did not effectively utilize the Local Disaster Risk Reduction Management Fund (LDRRMF) resulting to a minimal utilization rate of only 2.29% or P188,371.00 of the total appropriation for Mitigation Fund due to the failure of the Municipal Disaster Risk Reduction Management Council (MDRRMC) to monitor and evaluate the activities/programs to mitigate the effect of unforeseen calamities in violation of Section 21 of R. A. 10121 otherwise known as the Philippine Disaster Risk Management Act of 2010, hence, defeating the purpose for which the Fund was established.**

   We recommended Management to require the Municipal Disaster Risk Reduction Management Council (LDRRMC) to monitor and evaluate the utilization of the LDRRMF to ensure timely implementation of the pre-disaster preparedness programs, projects and activities.

5. **Retained Operating Surplus and unexpended balances of appropriations amounting to P1,642,565.98 under the Special Education Fund were not re-appropriated to finance projects enumerated under Sec. 272 of LGU Code of**

1991, thereby depriving the intended beneficiaries of the potential benefits that could be derived therefrom.

We recommend that the Local School Board re-appropriate the fiscal surpluses as well as the unexpended balances of appropriations to maximize the utilization of the SEF, such that the objectives for the creation of the fund shall be achieved and that the desired benefits are obtained by greater number of beneficiaries.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	1,373,590.00	0.00	1,373,590.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

6. Status of Implementations of Prior Years' Audit Recommendations

Out of ten (10) audit recommendations embodied in the 2014 Annual Audit Report, five (5) were fully implemented, one (1) waspartially implemented andfour (4) were not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.